

Anti-Money Laundering and Anti- Terrorist Financing (AML/AFT)

POLICY

May 13, 2026

BEEM
CREDIT UNION

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1 Purpose

The Anti-Money Laundering and Anti-Terrorist Financing Policy (the “Policy”) outlines Beem Credit Union’s (the “Credit Union”) approach to compliance with its Legislated Responsibilities.

2 Applicability

This Policy applies to all Credit Union and Subsidiary employees and Board of Directors.

3 Policy Statement

The Credit Union recognizes that Money Laundering and Terrorist Financing (“ML/TF”) is detrimental to the functioning of a civil society. As a financial institution, the Credit Union has a key role to play in restricting criminal and terrorist access to the financial system.

4 Policy Goals

The Credit Union is committed to ensuring compliance with its Anti-Money Laundering and Anti-Terrorist Financing (“AML/ATF”) and sanctions requirements under applicable Canadian Acts and the Regulations found in Appendix A (collectively, the “Legislated Responsibilities”), including the Proceeds of Crime Money Laundering and Terrorist Financing Act (“PCMLTFA”).

5 Policy Authority

The Board Risk Committee:

- is responsible for making recommendations to the Board for any amendments to this Policy, whenever necessary.

The Chief Anti-Money Laundering Officer (“CAMLO”):

- is responsible for the implementation, review, and management of this Policy; and
- is the contact point for any interpretations or clarifications.

At minimum, this Policy is to be reviewed and approved annually by the Board Risk Committee.

6 Requirements

The Credit Union will develop, implement, and maintain a compliance program to comply with its obligations under the Legislated Responsibilities (the “Compliance Program”). The Compliance Program will, amongst other functions, identify and manage ML/TF risks and consist of:

- this Policy;
- related policies, operational guidelines, and procedures;
- an AML/ATF compliance training program and plan;

- a periodic ML/TF risk assessment; and
- biennial effectiveness reviews.

In compliance with the PCMLTFA, the Credit Union's CAMLO is the Compliance Officer and will:

- have the necessary authority and access to resources to implement an effective Compliance Program and make any desired changes;
- have knowledge of the Credit Union's business functions and structure;
- have knowledge of the Credit Union's business sector's ML/TF risks and vulnerabilities as well as ML/TF trends and typologies; and
- understand the Credit Union's business sector's requirements under the PCMLTFA and associated Regulations.

The CAMLO will not be directly involved in the receipt, transfer, or payment of funds.

The CAMLO will report to the Chief Risk Officer ("CRO") for administrative and enterprise risk governance purposes (e.g., resourcing, prioritization of remediation, and escalation). The CAMLO will also have direct access to, and may report directly to, the Board of Directors (or the Board Risk Committee) on all matters relating to the Credit Union's compliance under this Policy, including material ML/TF risks, significant compliance deficiencies, and overdue remediation.

For certainty, the CAMLO has sole authority and approval to determine whether a regulatory report is required and to submit reports to FINTRAC (including Suspicious Transaction Reports) in accordance with the PCMLTFA and associated Regulations. Neither the CRO nor any other individual may direct, delay, veto, or otherwise interfere with the CAMLO's reporting determinations, investigations, or communications with FINTRAC.

The Credit Union will conduct effectiveness testing of its Compliance Program at minimum every two years (i.e. biennially).

Documentation will be maintained as per the Legislated Responsibilities, and as outlined in the Compliance Program's policies, guidelines, and procedures.

Documentation will be retained in a manner that allows required records to be provided to the Financial Transactions and Reports Analysis Centre of Canada ("FINTRAC") within 30 days of a request. For clarity, a record (or a copy) may be kept in a machine-readable or electronic form, so long as a paper copy can easily be produced.

7 Prohibitions and Restrictions

The Credit Union's Compliance Program will identify and prohibit the provision of financial services to individuals and entities named under the Legislated Responsibilities, as well as any members deemed to exceed the Credit Union's ML/TF Risk Appetite. For certainty, the Credit Union will not do business with, or allow its members to do business with, the following:

- terrorists and terrorist groups;
- individuals, entities, and countries named under Canadian economic sanctions;
- businesses conducting illegal activities such as arms dealers and human trafficking; and

- shell banks.

Relationships identified as higher risk by the Compliance Program will be subject to additional scrutiny such as enhanced due diligence and more frequent monitoring. Such higher risk relationships will also be subject to appropriate restrictions to control ML/TF risk in accordance with the Credit Union's Risk Appetite.

8 Responsibilities

The Credit Union is committed to detecting and deterring ML/TF activity, and to freezing property owned or controlled by terrorists or terrorist groups.

The Credit Union fully accepts, as its public duty, the obligation to cooperate with law enforcement agencies in their lawful investigation of criminal activities committed, or reasonably believed to have been committed, with respect to laundering proceeds of crime and terrorist financing activity. The Credit Union will submit all necessary reports to FINTRAC, the Royal Canadian Mounted Police ("RCMP"), the Canadian Security Intelligence Services ("CSIS"), and the British Columbia Financial Services Authority ("BCFSA") as required by law.

The Credit Union will retain all records required under its Legislated Responsibilities for examination by FINTRAC, or other applicable authorities, and the Credit Union's auditors.

The Credit Union will use a risk-based approach as a process to:

- identify and measure potentially higher risks for ML/TF;
- develop strategies to mitigate those risks; and
- focus resources in areas deemed to be higher risk.

8.1 Board Responsibilities

The Credit Union's Board of Directors is accountable for the oversight of the Compliance Program. To accomplish this, the Board of Directors, or delegated Board Committee, will:

- annually review and set the Credit Union's ML/TF Risk Appetite in accordance with the Credit Union's enterprise risk management framework;
- require regular reporting from the CAMLO and Management, as applicable, regarding the status of the Compliance Program. At minimum, the CAMLO will provide quarterly reporting to the Board Risk Committee and will escalate immediately to the Board Risk Committee upon identification of any material compliance deficiency, suspected non-compliance, or other material ML/TF risk issue. Such reporting will include, but not be limited to:
 - the current and expected level of ML/TF risk at the Credit Union;
 - the status of any AML/ATF related remediation plans;
 - any pending regulatory (i.e. FINTRAC, BCFSA) review; and
 - high-risk personal and/or business member relationships that approach or exceed the Credit Union's Regulatory and Compliance Risk Appetites;
- ensure that the Compliance Program has the necessary resources to:
 - comply with the requirements of the Legislated Responsibilities, and

- mitigate ML/TF risk in accordance with the Credit Union's Regulatory and Compliance Risk Appetites; and
- complete annual AML/ATF training as required, but no less than annually.

8.2 CAMLO–CRO Governance and Accountability

To meet the Credit Union's obligations under the PCMLTFA, the CAMLO is the designated Compliance Officer and is accountable for the effectiveness of the AML/ATF Compliance Program. The CRO provides enterprise risk oversight and ensures appropriate governance, resourcing, and escalation pathways for AML/ATF risk, but does not own or approve compliance reporting determinations.

CAMLO (Compliance Officer) – accountable for:

- design, implementation, maintenance, and ongoing effectiveness of the Compliance Program (policies, procedures, controls, training, monitoring, recordkeeping, and effectiveness reviews);
- ML/TF risk assessment methodology and periodic updates, including identification of higher-risk products, services, delivery channels, members, and geographies;
- regulatory reporting decisions and submissions to FINTRAC, including sole approval authority for whether a report is required and the content/timing of submissions;
- escalation of significant ML/TF risks, material compliance deficiencies, and suspected non-compliance to the CRO and/or Board Risk Committee, as appropriate;
- tracking and validation of remediation actions for AML/ATF issues and reporting on remediation status.

CRO – accountable for:

- enterprise risk oversight of ML/TF risk, including ensuring AML/ATF risks are reflected in the enterprise risk management framework and reporting to the Board Risk Committee;
- ensuring the CAMLO has sufficient independence, authority, access to information, and direct access to the Board Risk Committee when required;
- ensuring the Compliance Program is appropriately resourced (staffing, tools, budget) and that remediation action plans are prioritized and executed by management;
- reviewing CAMLO reporting on program status, issues, and remediation progress, and escalating matters to the Board Risk Committee when material risk or non-compliance is identified; and
- not directing, delaying, vetoing, or otherwise interfering with CAMLO investigations or FINTRAC reporting decisions.

Program Element	CAMLO	CRO	Board / Board Risk Committee
Compliance Program design & maintenance (policies, procedures, controls)	A/R	C/I	I/Oversight
ML/TF risk assessment & methodology (including higher-risk relationships)	A/R	C	I/Oversight

Ongoing monitoring & investigations program requirements	A/R	C/I	I/Oversight
Training program (content standards, completion tracking)	A/R	C/I	I/Oversight
Recordkeeping & production readiness (e.g., 30-day production)	A/R	C/I	I/Oversight
FINTRAC reporting decisions and submissions (incl. STRs)	A/R	I	I (aggregated/program reporting)
Sanctions screening / terrorist property freezing controls (program requirements)	A/R	C/I	I/Oversight
Effectiveness review coordination & remediation validation	A/R	C/I	I/Oversight
Resourcing, tools, and remediation prioritization	C	A/R	Oversight
Regulatory examinations and supervisory interactions (program coordination)	A/R	C/I	I/Oversight
Risk appetite approval and oversight	C	R	A

8.3 CAMLO Responsibilities

- To develop, implement, and maintain the Compliance Program in accordance with the Credit Union's ML/TF Risk Appetite and Legislated Responsibilities;
- To establish, maintain, and periodically update ML/TF risk assessments (including higher-risk member, product/service, delivery channel, and geographic risks) and associated controls;
- To develop and apply separate organizational risk assessments, compliance policies, and reporting procedures for each entity controlled by the Credit Union, ensuring that requirements of legislation are met;
- Aside from the biennial effectiveness review, to regularly review AML/ATF compliance policies, guidelines, and procedures to test their effectiveness and accuracy;
- To ensure an ongoing compliance training program is established and completed by all employees and individuals authorized to act on behalf of the Credit Union; and
- To ensure that all required regulatory reports are completed, submitted, and maintained in accordance with this Policy and the Legislated Responsibilities, with the CAMLO holding sole approval authority for FINTRAC reporting decisions and submissions.

8.4 Management Responsibilities

- To complete periodic AML training relevant to the requirements of the manager's position;

- To ensure that their direct reports have the necessary training and resources to carry out their obligations under the Compliance Program;
- To oversee their direct reports' application of the requirements of the Compliance Program;
- To act as an AML/ATF resource for their direct reports, consulting with the CAMLO as required; and
- To report all matters, suspicions, and incidents relating to ML/TF to the CAMLO.
- **CRO (in addition to general management responsibilities):** To provide enterprise risk oversight for ML/TF risk, ensure the Compliance Program is sufficiently resourced, support prioritization and execution of remediation plans, and escalate material ML/TF risks and compliance deficiencies to the Board Risk Committee. The CRO will not direct, delay, veto, or otherwise interfere with CAMLO investigations or FINTRAC reporting decisions.

8.5 Employee Responsibilities

- To complete periodic AML training relevant to the requirements of the employee's position;
- To maintain strict compliance with the Credit Union's policies, guidelines, and procedures;
- To not intentionally disclose information to members surrounding suspicions of money laundering or terrorist financing, the completion or submission of a FINTRAC Suspicious Transaction Report, or investigations pertaining to their account(s); and
- To report all matters, suspicions, and incidents relating to ML/TF to management and the CAMLO.

8.6 Auditor Responsibilities

Effectiveness reviews will be completed through the internal audit function of the Credit Union. Internal Audit will institute and document a plan which will:

- describe the scope of the review and include all elements of the Compliance Program;
- include rationale that supports the areas of focus;
- specify the time period that will be reviewed; and
- detail the anticipated evaluation methods and sample sizes.

Within 30 days of completion of a review, the following will be reported in writing to the CAMLO, Board of Directors and Executive Management:

- the findings, including any deficiencies, recommendations, and remediation action plans;
- any updates made to the policies, guidelines, and procedures during the reporting period (*the period covered by the two-year review*) that were not made because of the review itself; and
- the status of the implementation of the updates made to the policies, guidelines, and procedures as a result of the review.

Version History

DATE	VERSION	CHANGE
May 13, 2026	003	Strengthened AML/ATF governance to support PCMLTFA compliance by clarifying CAMLO vs. CRO roles, authority, and accountability, including CAMLO sole approval for FINTRAC reporting and non-interference expectations. Added minimum CAMLO reporting cadence to the Board Risk Committee (quarterly) with immediate escalation requirements for material deficiencies. Introduced CAMLO–CRO Governance and Accountability section and expanded accountability matrix covering key Compliance Program elements (risk assessment, monitoring/investigations, training, recordkeeping, reporting, sanctions/freezing controls, effectiveness review, resourcing, and regulatory interactions).
November 3, 2025	002	Update to Beem branding Updated Applicability section to include all Beem subsidiaries Updated Appendix A to reflect: - current in-force Special Economic Measures Regulations; * denotes additions since last version - current in-force United Nations Resolutions
January 2, 2024	001	Initial Version Created

Appendix A – List of Legislated Responsibilities

The Credit Union complies with the following Canadian legislations to fulfill its AML/ATF and sanctions obligations.

- Proceeds of Crime (Money Laundering) and Terrorist Financing Act
 - Cross-border Currency and Monetary Instruments Reporting Regulations
 - Proceeds of Crime (Money Laundering) and Terrorist Financing Regulations
 - Proceeds of Crime (Money Laundering) and Terrorist Financing Suspicious Transaction Reporting Regulations
- Criminal Code
 - Regulations Establishing a List of Entities
- Freezing Assets of Corrupt Foreign Officials Act
 - Freezing Assets of Corrupt Foreign Officials (*Tunisia*) Regulations
 - Freezing Assets of Corrupt Foreign Officials (*Ukraine*) Regulations
- Justice for Victims of Corrupt Foreign Officials Act (*Sergei Magnitsky Law*)
 - Justice for Victims of Corrupt Foreign Officials Regulations
- Special Economic Measures Act
 - Order Restricting the Restraint of Property Situated in Canada (Roman Arkadyevich Abramovich)*
 - Regulations Implementing the United Nations Resolutions and Imposing Special Economic Measures on Libya
 - Special Economic Measures (Belarus) Regulations
 - Special Economic Measures (Democratic People's Republic of Korea) Regulations
 - Special Economic Measures (Extremist Settler Violence) Regulations*
 - Special Economic Measures (Guatemala) Regulations*
 - Special Economic Measures (Haiti) Regulations
 - Special Economic Measures (Hamas Terrorist Attacks) Regulations*
 - Special Economic Measures (Iran) Regulations
 - Special Economic Measures (Moldova) Regulations
 - Special Economic Measures (Myanmar) Regulations*
 - Special Economic Measures (Nicaragua) Regulations
 - Special Economic Measures (People's Republic of China) Regulations
 - Special Economic Measures (Russia) Regulations
 - Special Economic Measures (South Sudan) Regulations
 - Special Economic Measures (Sri Lanka) Regulations
 - Special Economic Measures (Sudan) Regulations*
 - Special Economic Measures (Syria) Regulations
 - General Permit Allowing Specified Activities and Transactions that are Prohibited Under the Special Economic Measures (Syria) Regulations*
 - Special Economic Measures (Ukraine) Regulations
 - Special Economic Measures (Venezuela) Regulations
 - Special Economic Measures (Zimbabwe) Regulations
 - Special Economic Measures Permit Authorization Order*
- United Nations (UN) Act

- Regulations Implementing the UN Resolutions and Imposing Special Economic Measures on Libya
- Regulations Implementing the UN Resolutions on Haiti
- Regulations Implementing the UN Resolutions on Iran
- Regulations Implementing the UN Resolutions on Iraq
- Regulations Implementing the UN Resolutions on Lebanon
- Regulations Implementing the UN Resolutions on Somalia
- Regulations Implementing the UN Resolutions on South Sudan
- Regulations Implementing the UN Resolutions on Sudan
- Regulations Implementing the UN Resolutions on Taliban, ISIL (Da'esh) and Al-Qaida
- Regulations Implementing the UN Resolutions on the Central African Republic
- Regulations Implementing the UN Resolutions on the Democratic People's Republic of Korea (DPRK)
- Regulations Implementing the UN Resolutions on the Democratic Republic of the Congo
- Regulations Implementing the UN Resolutions on the Suppressions of Terrorism
- Regulations Implementing the UN Resolutions on Yemen